dispensation regarding regulatory, governance and content norms on a par with other autonomous institutions in India.

NEP-2020 Persists with All ‘Education’ Being a Not-For-Profit Activity

Education essentially serves two major societal and personal needs: first, it brings every individual familiarity, knowledge and understanding of self, society and the geophysical world to develop as a healthy, happy and responsible human being; second, it equips every individual to work productively and contribute to the economy.

The first type of education is a pure ‘merit good’ with enormous externalities, while the second type is essentially skills and deeper knowledge, which is largely a private good with limited externalities. Let’s call the first type general education and the second, technical education. A clearer understanding of these two different forms of education has enormous implications for designing the correct policies.

As a classic merit good, general education is a community responsibility and should be delivered and funded as a community/state enterprise. On the other hand, as a private good, technical education should be delivered and funded as a private enterprise.

In India, all educational institutions can be established only as a ‘society’, ‘trust’ or ‘not-for-profit’ company. Educational institutions, including technical education institutions, cannot be established legally as proprietary or partnership companies or any other ‘for-profit’ entity. This policy is incorporated in all the education-related laws of the Centre and states. The mindset of all educationists is informed by the requirements of general education and it makes no distinction between general and technical education. The courts, including the Supreme Court, have upheld this. NEP-2020 also carries forward the same idea.